

Belgian Registered Shares and Dematerialisation

Service Description Document

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EURONEXT SECURITIES

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1. Executive summary

As the Issuer or Investor Central Securities Depository (CSD) for Belgian equities, Euronext Securities Milan provides services related to Belgian registered securities. Belgian issuers may issue shares in two different forms:

- **Dematerialised Securities**
- **Registered Securities**

The choice of security form is determined by the investor unless the Issuer has decided to issue securities only in registered form.

Euronext Securities Milan provides tailored services for Issuers, including a service that allows Issuers to outsource the management of their share register.

Additionally, Euronext Securities Milan facilitates for Issuers and Investors the conversion between dematerialised and registered securities, offering a comprehensive service for managing Belgian registered securities.

Note this document does not cover any aspect related to Tax, as tax services are described in other documents.

2. Context

In accordance with the Belgian dematerialisation legal framework, as from 1 January 2008, Belgian Issuers are no longer allowed to issue or maintain securities in bearer form.

However, Issuers under Belgian law can issue securities as either registered securities or dematerialised securities. The Investors can then choose in which form they want to hold the securities unless the Issuer has decided to issue securities only in registered form.

For registered securities, the Issuer must maintain a dedicated share register, whereas dematerialised securities are maintained in the books of the Issuer CSD. The Issuer may choose to outsource the share register to a third party, such as the CSD by signing an agreement with the CSD.

This document covers:

- **The Share Register Service (SRS) offered by Euronext Securities Milan** for Belgian registered securities.
- **The management of the conversion of registered securities** into dematerialised securities and vice versa.

Please note that the Share Register Service (SRS) is only available when Euronext Securities Milan is acting as an Issuer CSD. The conversion of securities service is available

both when Euronext Securities Milan acts as an Issuer CSD or as an Investor CSD. As an Investor CSD, Euronext Securities Milan holds an account with Euroclear Belgium to receive dematerialised securities when registered securities are converted. Additionally, it can facilitate the reverse process, converting dematerialised securities back into registered securities.

3. Target Audience

This document outlines the new service that facilitates the processing of **Belgian registered securities** comprising of the Share Register Service (SRS) and the dematerialisation (management of the conversion of registered securities to dematerialised securities and vice versa) through Euronext Securities Milan.

The service is designed for:

• Issuers

- Euronext Securities Milan participants.

Note that we use the term Issuer in this document in a generic way to refer to the Issuer or its appointed agent.

4. General Overview

This document provides an overview of Euronext Securities Milan services related to Belgian registered securities:

- **Registered Securities Services offered by Euronext Securities Milan to Belgian issuers:**
 - Description of share register service
 - Outline of process for reporting the share register to the Issuer
 - Details of transactions that impact the share register
 - Explanation of trade flows associated with these securities
 - Management of other types of transactions
 - Reporting to shareholders.
- **Conversion process services offered by Euronext Securities Milan to custodians:**
 - Explanation of the overall process for converting registered securities to dematerialised securities and vice versa.

5. Actors

Actors	Description
Issuer	The Issuer of securities under Belgian law.
Investor	An Investor that holds Belgium registered or dematerialised securities.
Registrar	The registrar entity appointed by the Issuer to maintain the share register under Belgian law for registered securities.
Issuer CSD	A Central Securities Depository (CSD) that holds the issuance account of a security. It is the CSD where the securities are recorded and from which they are created and distributed. The Issuer CSD is responsible for the initial registration, safekeeping, and central administration of the securities on behalf of the Issuer.
Investor CSD	A Central Securities Depository (CSD) that accepts a security into its own books for the purpose of settlement and safekeeping, even though it is not the primary CSD of issuance. The Investor CSD enables its participants to hold and settle securities issued in another CSD, typically through a link with the Issuer CSD.

6. Securities legal forms

There are two legal forms of securities issued on the Belgian market, presented below:

Form	Description
Dematerialised	Under Belgian company law, dematerialised shares issued by a Belgian corporation constitute a distinct category of securities. Dematerialised shares and registered shares are two separate and mutually exclusive categories: a share can be either in registered form or in dematerialised form. Dematerialised shares exist solely as book entries, without any physical certificate or tangible representation. In other words, these shares are intangible assets, evidenced exclusively by their registration in a securities account maintained with a Central Securities Depository (CSD). The legal framework governing dematerialised shares is primarily outlined in (i) the Belgian Companies and Associations Code (BCCA) and (ii) the Royal Decree of 12 January 2006 on dematerialised securities.

Form	Description
Registered	Under Belgian company law, registered shares (actions nominatives/aandelen op naam) issued by a Belgian corporation are represented solely by an entry in a register. This register documents the identity of the shareholder and all subsequent transfers of ownership and is maintained by the company as the share register. The key feature of registered shares is the traceability and transparency of their ownership since the company always knows the identity of its shareholders.

7. Belgian Securities Register Service overview

It is the Issuer's responsibility to maintain the share register. As per current market practice, most issuers have outsourced this to the CSD. Euronext Securities Milan as Issuer CSD will hence support the Issuer if requested to do so. As part of its service to issuers, Euronext Securities Milan ensures full compliance with Belgian securities law requirements by:

- Maintaining the mandatory legal details of shareholders (i.e., Section on the maintenance of the share register) and ensuring the integrity of the share register
- Updating the share register upon transfer of ownership due to trades (for securities that are only issued in registered form) or other events such as change of details of the registered shareholder
- Providing the Issuer with a 'read' access to the share register and reporting to the Issuer on the share register
- ~~Supporting shareholders in their daily interactions with the share register.~~

Euronext Securities Milan supports issuers and custodians by:

- Providing services to facilitate the conversion of registered securities into dematerialised securities and vice versa, ensuring smooth transitions as the Issuer CSD.

7.1. Share register and register management

The management of Belgian registered securities is governed by a set of principles designed to ensure transparency, traceability, and legal compliance in accordance with Belgian company law.

Euronext Securities Milan offers a full Share Register Services (SRS), allowing Issuers to outsource to Euronext Securities Milan the management of their share register while

maintaining transparency and a full access to the share register through online access and regular reporting.

When managing the share register, Euronext Securities Milan maintains the register and processes any transactions and other events impacting the share register, not limited to the purchase or sale of securities.

Finally, Euronext Securities Milan also provides shareholder reporting aligned with the Issuer transparency requirements¹II.

7.1.1. Maintenance of the share register

If issued in registered form, Belgian equities are represented solely by entries in the share register maintained by the Issuer or a delegated third party, such as a Central Securities Depository (CSD).

On the request of the Issuer, Euronext Securities Milan can provide this service, as a delegated party in accordance with Belgian law.

As part of this service, Euronext Securities Milan maintains the register containing detailed information about each shareholder, including:

- name and address of each shareholder (for natural persons), or name, registered office, and registration number (for legal entities)
- number and class of shares held by each shareholder
- amounts paid up on each share
- any restrictions on the transferability of shares foreseen in the articles of association or, upon request of one of the parties, foreseen in any agreements or the issuance conditions
- all share transfers and the dates thereof
- the voting rights, and rights to profits and to liquidation proceeds (if these differ from the profit rights), attached to each share.

The share register serves as the primary record of ownership for registered shares, and all changes in ownership or rights must be promptly and accurately reflected in the register (see transaction on register section).

7.1.2. Access to the register for the Issuer and reporting

Euronext Securities Milan provides the Issuer with both a view access to the share register and a set of reports.

¹ Directive 2007/36/EC of the European Parliament and of the Council of 11 July 2007 on the exercise of certain rights of shareholders in listed companies as transposed in Belgium.

The Issuer's access to the share register is electronic and is supported by a web platform. The Issuer can conduct searches and generate queries on the share register to obtain specific information or reporting.

In addition, Issuer reporting is also available via a dedicated set of electronic reports shared with the Issuer at a pre-defined frequency and sent electronically or accessible via a web platform.

Example of reporting components:

- Shareholder report per International Security Identification Number (ISIN):
 - snapshot of the shareholder structure (who owns what positions, with the shareholders' details)
 - delta information, i.e., movements/changes since the last reporting
- Quantity of shares per shareholder
- Shareholder activity report
 - listing all new shareholders and their holdings
 - listing change of ownerships and transactions for the reported period.

7.2. Updating the share register

As part of its role in maintaining the register, Euronext Securities Milan also processes updates to the share register. Four types of operation result in a need to update the share register:

- **Trade and Transfer Operations:** Purchases and sales of registered shares are processed through financial intermediaries, who submit the necessary documentation to the CSD for register updates. The next section will focus on the trade flow for registered securities. For dematerialised shares, transfers occur via book-entry movements between securities accounts. The register is amended to reflect changes in ownership, and confirmations are sent to relevant parties. Off-exchange transfers, such as gifts or inheritances, require supporting legal documentation and result in corresponding register updates.
- **Shareholder Security Register Maintenance:** The CSD, acting on behalf of the Issuer under an outsourcing agreement, maintains the register for all registered shares. This includes recording new shareholders, updating ownership following trades, and reflecting changes due to events such as pledges, inheritances, or changes in shareholder details (e.g., name, address, bank account). The register must contain all legally required information, including shareholder identity, share quantities, class, paid-up amounts, transfer restrictions, transfer dates, and associated rights.

- **Other Register Events:** The register must also accommodate events such as pledges (with shares blocked until pledge release), changes in ownership structure (e.g., co-ownership, usufruct), and the death of a shareholder (requiring legal documentation for inheritance processing). Each event triggers a specific update in the register and may require communication with both the Issuer and affected shareholders.
- **Corporate Actions and Capital Changes:** The Issuer may instruct the CSD to adjust the number of issued securities due to corporate actions (e.g., capital increase, buy-back). These changes are reflected in the Issuance Account and, where applicable, in the breakdown between dematerialised and registered shares. The Issuer must provide clear instructions and supporting documentation for such operations.

7.2.1. Stock exchange trades

7.2.1.1. Buy trade processing

The purchase of shares on the stock exchange is processed through a financial institution chosen by the investor (credit institution or brokerage firm). Any new shareholder will be created in the Register based on the buying power completed by the financial institution.

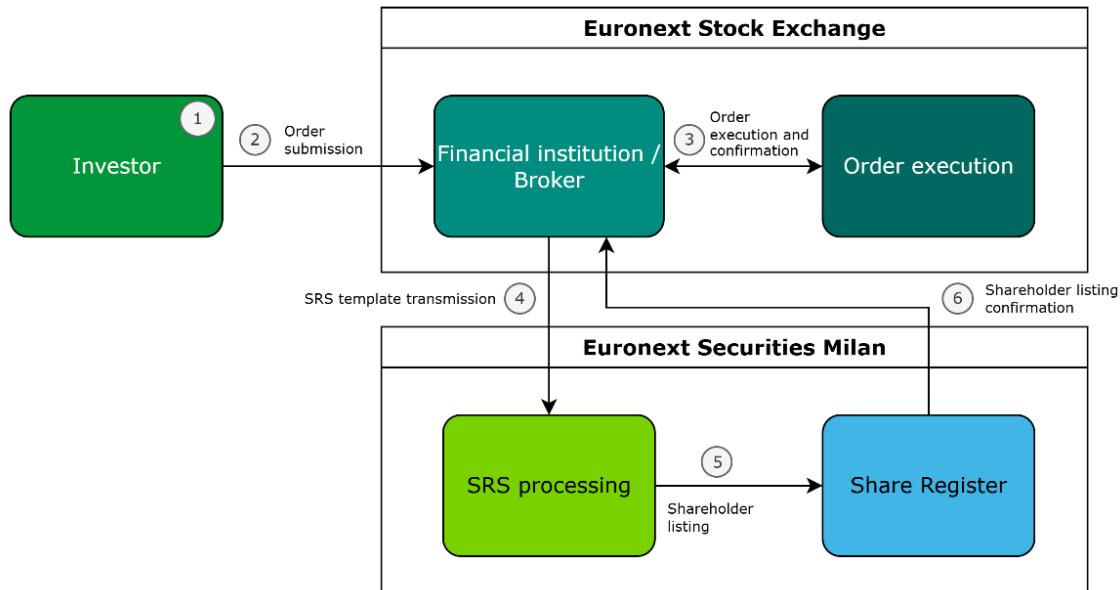
Purchase of shares

The order to purchase the shares (buy order) is placed on the stock exchange by the financial intermediary. The latter sends the completed and signed SRS Template electronically directly to the CSD in charge of maintaining the register. The Issuer CSD will confirm the registration of the purchase to the financial intermediary.

Step by step process for purchase of shares

Steps	Description
1	Investor decision: Investor decides to purchase new securities
2	Order submission: Investor selects a financial institution (credit institution or brokerage firm) and instruct this broker to place an order on the market and manage the transaction
3	Order execution and confirmation: Financial intermediary places the purchase order on the stock exchange. The order is executed and confirmed back to the broker.
4	SRS template transmission: Financial intermediary sends the completed and signed SRS template to the Central Securities Depository (CSD) via electronic channel so that the shareholders register can be updated.
5	Shareholder listing: New shareholder is listed by Shareholder Services based on its completed buying power.
6	Shareholder registration confirmation: Issuer CSD confirms the registration into the Share Register of the purchase to the financial intermediary.

Process flow



7.2.1.1.2. Sell trade processing

The sale of shares on the stock exchange is also managed through a financial intermediary chosen by the holder (credit institution or brokerage firm). The shareholder must know their shareholder number and specify this on the selling power so that their account can be debited.

Sale of shares

The sell order is placed on the stock exchange by the financial intermediary. The latter forwards the SRS Template electronically directly to the CSD in charge of maintaining the register.

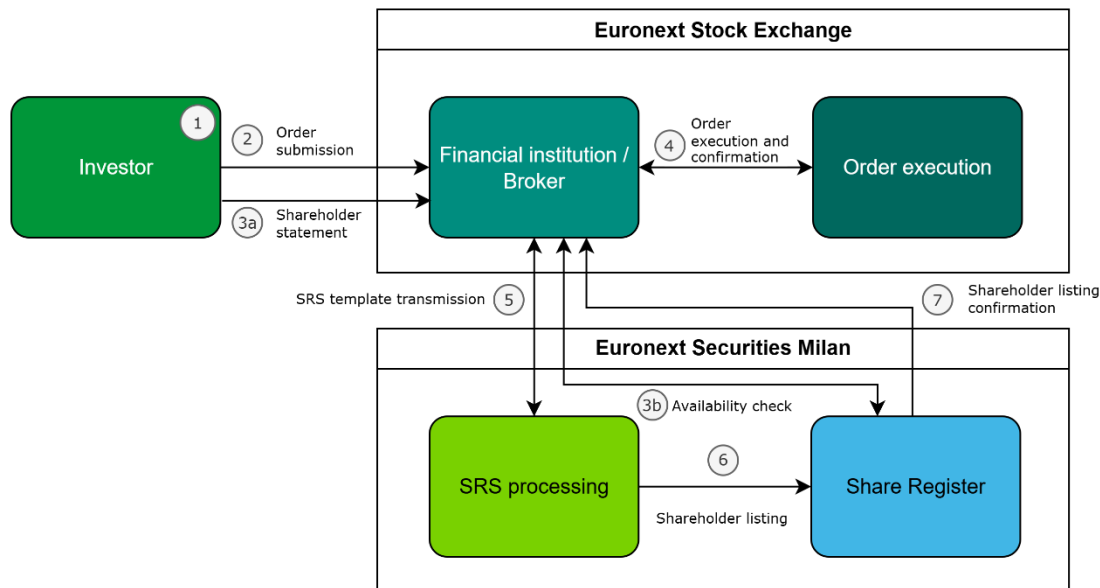
The financial intermediary in charge of the transaction will have checked in advance with the registrar (Issuer CSD) to see if the corresponding position is available for sale. The selling shareholder can also submit a balance statement attesting their ownership to the financial institution conducting the transaction (see reporting to the shareholder) to attest their ownership of the securities.

Step by step process for sale of shares

Steps	Description
1	Investor decision: Investor decides to sell new securities
2	Financial instruction selection: Investor selects a financial institution (credit institution or brokerage firm) to place and manage the transaction

Steps	Description
3	Financial intermediary checks availability of shares: Financial intermediary verifies the availability of securities to be sold by a) receiving a shareholder statement from the investor/shareholder or b) checking with the share register
4	Order execution and confirmation: Financial intermediary places the purchase order on the stock exchange. The order is executed and confirmed back to the broker.
5	SRS template transmission: Financial intermediary sends the completed and signed SRS Template to the Central Securities Depository (CSD) via electronic channel
6	Shareholder listing: New shareholders are listed by Shareholder Services based on the completed buying power for the purchasing side; and records adjusted for the sale side based on shareholders details and registration preferences .
7	Shareholder registration confirmation: Issuer CSD confirms the registration of the sale or the purchase to the financial intermediary.

Process flow



7.2.2. Other Events impacting the register

Aside from stock exchange trades (see previous section), several other types of operation can trigger an update of the share register, each with specific characteristics, counterparties, and operational requirements.

The following table summarises the main types of transactions:

Transaction Type	Description	Counterparties Involved	Characteristics
Purchase (OTC)	Acquisition of shares by an investor, recorded in the register	Investor, Financial Intermediary, CSD	New shareholder entry, assignment of shareholder ID, update of shareholding and rights
Sale (OTC)	Disposal of shares by a registered shareholder	Shareholder, Financial Intermediary, CSD	Removal or update of shareholder entry, transfer of shares, update of rights
Transfer (Gift/Inheritance)	Off-exchange transfer due to gift or inheritance	Shareholder, Notary, Beneficiaries, CSD	Requires supporting documentation (e.g., notarial deed), update of ownership and rights
Pledge/Block	Shares pledged as collateral, resulting in blocking of shares	Shareholder, Bank, CSD	Shares marked as pledged/blocked, restriction on transfer until pledge is lifted
Change of Form	Conversion between registered and dematerialised form	Shareholder, Financial Intermediary, Issuer, CSD	Requires completion of specific forms, adjustment of register and CSD accounts
Change of Shareholder Details	Update of personal or contact information in the register	Shareholder, CSD	Submission of supporting documents, update of register
Death of Shareholder	Registration of death and transfer to heirs	Notary, Family, CSD	Requires death certificate, inheritance documents, update of ownership

Each transaction must be supported by the appropriate documentation and, where applicable, validated by the relevant parties (e.g., Issuer, CSD, financial intermediary). All movements are promptly reflected in the register to maintain legal accuracy and compliance.

7.3. Shareholder Interaction with the share register

As part of its share register service, Euronext Securities Milan assists the Issuers of registered shares with specific reporting towards the Issuer as well as assisting Shareholders with specific queries and reports.

More specifically, Euronext Securities Milan supports:

- **Issuer communication to shareholders:**
 - for corporate actions announcements and processing
 - for general meeting announcements and processing
 - shareholder annual statement.
- **Shareholder reporting, including:**
 - annual statement, containing the quantity of shares registered in that name and any other relevant remarks based on the register data (e.g. pledged)
 - ~~proof of dividend (on the request of the shareholder), containing the shareholder details, the quantity of shares for which a dividend has been paid, the dividend per share, and the total paid including any withholding tax applied.~~

Euronext Securities Milan acts in full respect of GDPR and oversees GDPR requests such as modification, access, rectification of personal addresses to the share register.

8. Conversion Services

Euronext Securities Milan supports Issuers and custodians with the conversion between registered and dematerialised securities, and vice versa. This does not include the conversion of physical securities into dematerialised securities.

The various cases are described in the following sections.

8.1. Scope of conversion services

Holders of dematerialised securities can request conversion to registered securities and vice versa, resulting in a complete transformation of the security's legal nature. There are no specific overall legal requirements for the communication method for such requests defined in the Belgian dematerialisation legal framework, as from 1 January 2008. However, based on the Article of Association, Issuers can specify requirements and publish procedures on their websites.

Euronext Securities Milan can serve as either the place of issuance (Issuer CSD) or the place of safekeeping (Investor CSD), with Euroclear Belgium as the Issuer CSD. The scenarios based on these roles are:

- **Conversion from registered to dematerialised securities when Euronext Securities Milan is Issuer CSD:**
 - Shareholder [via the Issuer \(Agent\) or a Euronext Securities Milan participant](#) sends a request to Euronext Securities Milan to deregister, and a CSD participant instruction is sent to credit the dematerialised securities.

- **Conversion from dematerialised to registered securities when Euronext Securities Milan is Issuer CSD:**
 - Shareholder sends a request to register the securities to its financial institution, and a CSD participant instruction is sent to debit the dematerialised securities.
- **Conversion from registered to dematerialised securities when Euronext Securities Milan is Investor CSD:**
 - Shareholder sends a request to ~~the~~ another Security Register to deregister, and Euronext Securities Milan sends an instruction to Euroclear Belgium to credit the dematerialised securities.
- **Conversion from dematerialised to registered securities when Euronext Securities Milan is Investor CSD:**
 - Shareholder sends a request to another Security Register to register, and a CSD participant instruction is sent to debit the dematerialised securities in Euroclear Belgium.

Different scenarios:

Scenario	Place of issuance	Place of safekeeping	Description
1	Euronext Securities Milan	Euronext Securities Milan	Registered securities converted to dematerialised securities
2	Euronext Securities Milan	Euronext Securities Milan	Dematerialised securities converted to registered securities
3	Issuer CSD (not being Euronext Securities Milan)	Euronext Securities Milan	Registered securities converted to dematerialised securities
4	Issuer CSD (not being Euronext Securities Milan)	Euronext Securities Milan	Dematerialised securities converted to registered securities

8.2. Scenario 1: Conversion from registered securities to dematerialised form when Euronext Securities Milan serves as both the place of issuance and safekeeping

When acting as the Issuer CSD, serving as both the place of issuance and safekeeping, Euronext Securities Milan facilitates the conversion of registered securities into dematerialised securities through different steps.

In this process, the shareholder can either contact the issuer directly to start the procedure, or Euronext Securities Milan can act as a single point of contact to help coordinate the exchange of information. ~~between the shareholder (and their custodian) and the relevant third parties~~

Scenario 1A: Shareholder contacts the issuer directly.

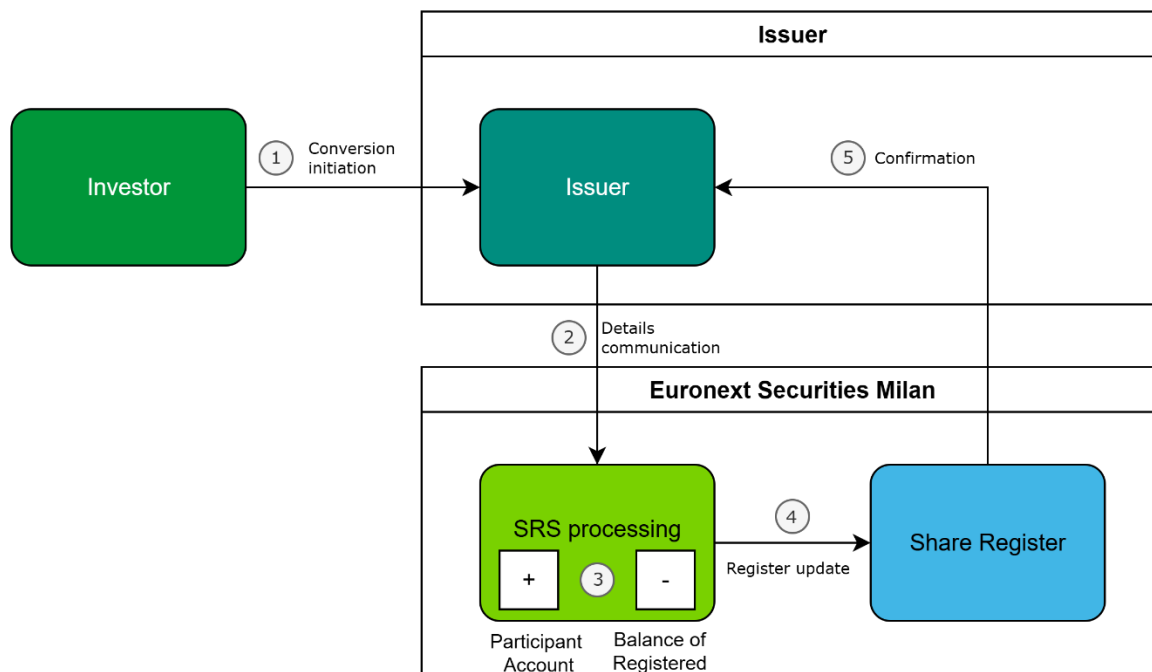
1. **Conversion initiation by the shareholder:** the shareholder begins the conversion process by contacting the Issuer. The shareholder must provide the Issuer with details of the financial institution (and the associated CSD participant) they wish to use for safekeeping of their dematerialised securities, along with the CSD participant account details, specifically a Euronext Securities Milan CSD participant account.
2. **Communication to Issuer CSD:** the Issuer then relays this information to the Issuer CSD, here Euronext Securities Milan, including the International Securities Identification Number (ISIN), the quantity to be converted, and any relevant references (e.g. a reference for the de-registration).
3. **Conversion and Adjustment:** Euronext Securities Milan credits the converted securities to the CSD participant accounts.

For the execution of the conversion, according to the details in the receive de-registration form sent by the custodian, Euronext Securities Milan sends an already matched delivery "Free of Payment" instruction, to debit the Issuance account and credit the participant account. It is created with the 'on hold' indicator and includes a conversion internal reference from the participant. The 'on hold' indicator can be lifted once the registrar confirms that the share register has been updated.

When Euronext Securities Milan receives the T2S settlement confirmation:

- It sends a settlement confirmation to the participant, including a reference to the de-registration
 - The register is updated
4. **Register Update:**
 - If Euronext Securities Milan is the registrar, it updates the Share Register to reflect the removal of the converted position. It also debits the number of de-registered securities from the off-ledger "Registered" account, for the relevant ISIN. This update is immediate and does not require further communication.
 - If Euronext Securities Milan is not the registrar, it ~~will ensure that the movements reflect the position on the register and~~ will minimise the time gap between the debit in the register, as communicated by the registrar, and the credit to the participant account.
 5. **Confirmation:** When Euronext Securities Milan is the registrar, it confirms the adjustment in the share register to the issuer (by updating the status of the Issuer request).

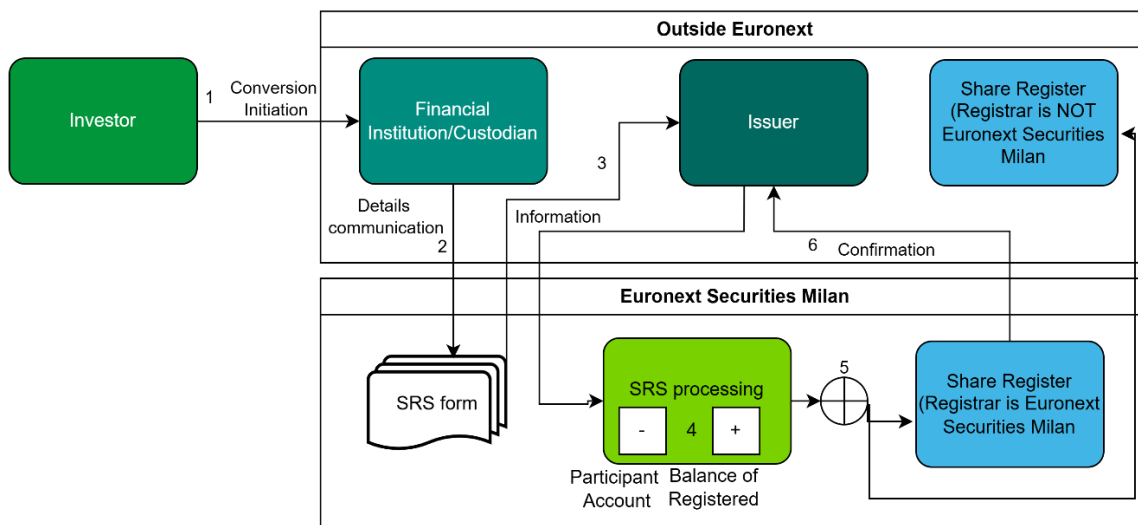
Scenario 1A process flow: conversion of registered securities to dematerialised securities



Scenario 1B: Euronext securities Milan is the single point of contact:

- 1- Conversion initiation: the shareholder begins the conversion by contacting the financial institution (and the associated Euronext Securities CSD participant) where they want to hold their dematerialised securities
- 2- The CSD participant liaises with the Euronext Securities Milan to inform about the conversion request and provide the related form completed
- 3- Communication to Issuer: Euronext Securities Milan liaise with the Issuer to communicate the conversion request and validate the form
- 4- Conversion and adjustment: same process as defined in 1A
- 5- Register update: same process as defined in 1A
- 6- Confirmation: same process as defined in 1A

Scenario 1B process flow: conversion of registered securities to dematerialised securities



8.3. Scenario 2: Conversion from dematerialised securities to registered securities when Euronext Securities Milan serves as both the place of issuance and safekeeping

When acting as the Issuer Central Securities Depository (CSD), serving as both the place of issuance and safekeeping, Euronext Securities Milan facilitates the conversion of dematerialised securities into registered securities through different steps.

In this process, the shareholder, via his financial institution, can either contact the issuer directly to start the procedure, or Euronext Securities Milan can act as a single point of contact to help coordinate the exchange of information between the shareholder (and their custodian) and the relevant third parties

Scenario 2A: Shareholder and financial institution contact the issuer directly

- 1. Conversion initiation by shareholder:** the shareholder initiates the conversion by contacting the financial institution where the dematerialised securities are held. Since Euronext Securities Milan is the safekeeping CSD, the financial institution is a participant of Euronext Securities Milan.
- 2. Communication to the Issuer:** the financial institution contacts the Issuer, or the Security Register institution, such as Euronext Securities Milan.
- 3. Communication to Issuer CSD:** the Issuer relays the necessary information to the Issuer CSD, including details of the participant account to be debited, the International Securities Identification Number (ISIN), the shareholder identification, and any relevant references (e.g. a reference for the registration).
- 4. Conversion and Adjustment:** the Issuer CSD debits the converted securities from the CSD participant accounts.

To achieve this, according to the details in the receive registration form sent by the custodian, Euronext Securities Milan sends an already matched delivery "Free of Payment" instruction, to debit the participant account and credit the Issuance account, (a power of attorney may be required for this action). It is created with the 'on hold' indicator and includes a conversion internal reference from the participant. The 'on hold' can be lifted once the registrar confirms that the share register has been updated.

When Euronext Securities Milan receives the T2S settlement confirmation:

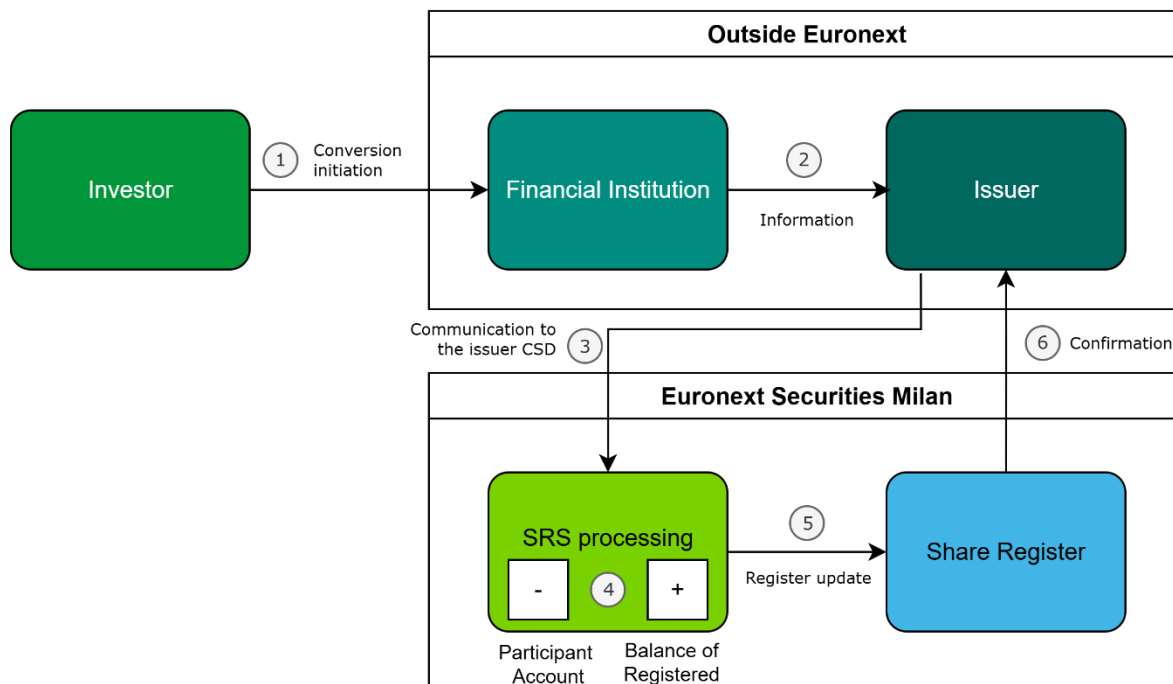
- It sends a settlement confirmation to the participant, including a reference to the de-registration
- The register is updated

5. **Register Update:**

- If Euronext Securities Milan is the registrar, it updates the Share Register to reflect the addition of the converted position. It also credits the number of newly registered securities from the off-ledger "Registered" account, for the relevant ISIN. This update is immediate and does not require further communication.
- If Euronext Securities Milan is not the registrar, it will ~~ensure that the movements reflect the position on the register and will~~ minimise the time gap between the credit in the register, as communicated by the registrar, and the debit to the participant account.

~~6. Confirmation:~~ When Euronext Securities Milan is the registrar, it confirms the adjustment in the share register to the issuer (by updating the status of the Issuer request).

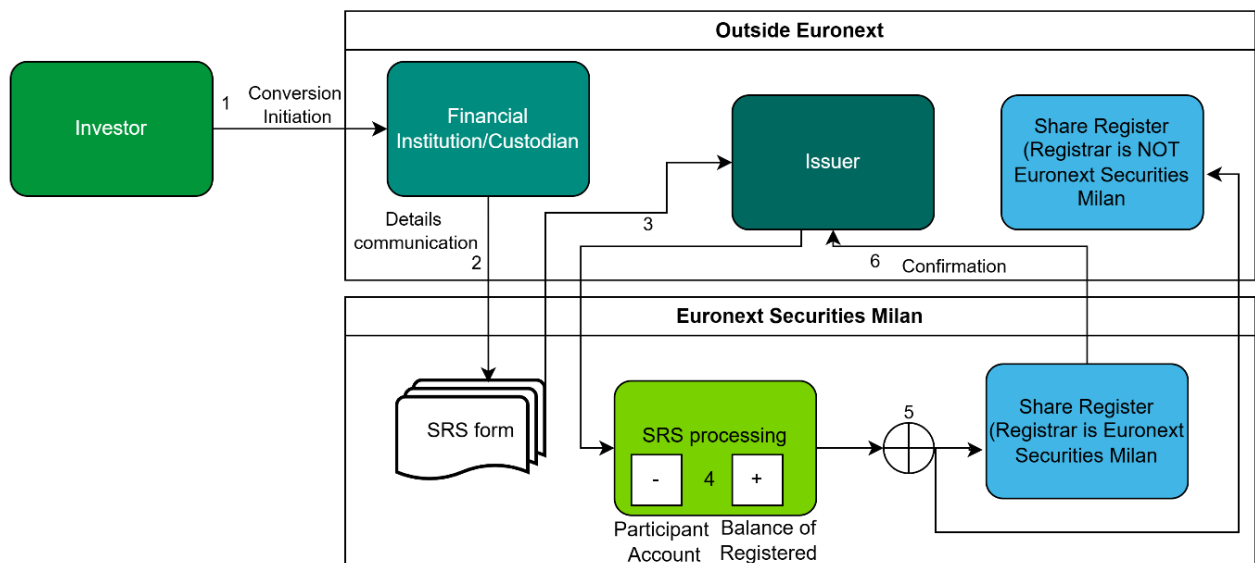
Scenario 2A- process flow: conversion of dematerialised securities to registered securities



Scenario 2B: Euronext securities Milan is the single point of contact:

- 1- **Conversion initiation:** the shareholder begins the conversion by contacting the financial institution (and the associated Euronext Securities CSD participant) where the securities to be registered are safekept
- 2- The CSD participant liaises with the Euronext Securities Milan to inform about the conversion request and provide the related form completed
- 3- **Communication to Issuer:** Euronext Securities Milan liaise with the Issuer to communicate the conversion request and validate the form
- 4- **Conversion and adjustment:** same process as defined in 2A
- 5- **Register update:** same process as defined in 2A
- 6- **Confirmation:** same process as defined in 2A

Scenario 2B-process flow: conversion of dematerialised securities to registered securities



8.4. Scenario 3: Conversion from Registered Securities to Dematerialised Securities - Euronext Securities Milan is not a place of primary issuance but a place of safekeeping

When Euronext Securities Milan acts as the place of safekeeping, it facilitates the conversion of registered securities into dematerialised securities through different steps.

In this process, the shareholder can either contact the issuer directly to start the procedure, or Euronext Securities Milan can act as a single point of contact to help coordinate the exchange of information between the shareholder (and their custodian) and the relevant third parties

Scenario 3A: Shareholder contacts the issuer directly

- 1. Initiation by Shareholder:** the shareholder initiates the conversion by contacting the Issuer and providing details of the financial institution intended for safekeeping the converted dematerialised securities, along with the CSD participant information
- 2. Information Provision:** in this scenario, Euronext Securities Milan is the place of safekeeping. The Issuer CSD's request form for conversion must be completed: the information provided includes the Euronext Securities Milan omnibus account in the books of the Issuer CSD not being Euronext Securities Milan.
- 3. Communication to Issuer CSD:** Euronext Securities Milan communicates/facilitates the communication ~~this information~~ to the Issuer CSD, including the International Securities Identification Number (ISIN), the quantity to be converted, and any references required by the Issuer CSD documentation

4. **Adjustment by Issuer CSD:** the Issuer CSD credits the converted position to the CSD participant accounts (Euronext Securities Milan ~~omnibus account~~), adjusting the global position by decreasing issued registered securities and increasing dematerialised securities.
5. **Register Amendment:** the Issuer CSD confirms the adjustment to the Issuer, prompting an amendment to the Security Register to reflect the removal of the converted position.
6. **Final Confirmation:** upon confirmation of the credit of the dematerialised securities in the Euronext Securities Milan omnibus account with the Issuer CSD, Euronext Securities Milan:
 - Executes the adjustments by:
 - Sending an already matched "free of payment" instruction that credit the Euronext Securities Milan CSD participant account, according to the details in the received de-registration form. It includes a conversion internal reference from the participant. The instruction settles once the Issuer CSD confirms that settlement has occurred on the Euronext Securities account at the Issuer CSD, and
 - Confirms the credit to the account of the Euronext Securities Milan CSD participant.

Scenario 3B: Euronext securities Milan is the single point of contact:

- 1- **Conversion initiation:** the shareholder begins the conversion by contacting the financial institution (and the associated Euronext Securities CSD participant) where they want to hold their dematerialised securities
- 2- The CSD participant liaises with the Euronext Securities Milan to inform about the conversion request and provide the related form completed
- 3- **Communication to Issuer CSD:** same as in 3A
- 4- **Adjustment by Issuer CSD:** same process as defined in 3A
- 5- **Register amendment:** same process as defined in 3A
- 6- **Final Confirmation:** same process as defined in 3A

8.5. Scenario 4: Conversion from Dematerialised Securities to Registered Securities - Euronext Securities Milan is not a place of issuance but a place of safekeeping

This case outlines the activities performed by Euronext Securities Milan during the conversion from dematerialised securities to registered securities when it acts solely as a place of safekeeping, not issuance.

In this process, the shareholder, via his financial institution, can either contact the issuer directly to start the procedure, or Euronext Securities Milan can act as a single point of contact to help coordinate the exchange of information between the shareholder (and their custodian) and the relevant third parties

Scenario 4A: Shareholder and financial institution contact the issuer directly

1. **Initiation by Shareholder:** the shareholder contacts the financial institution where the existing dematerialised securities are held to initiate the conversion. As Euronext Securities Milan is the safekeeping CSD, the financial participant is a participant of Euronext Securities Milan, and the dematerialised securities are reflected in the books of Euronext Securities Milan.
2. **Communication with Issuer:** the financial institution then contacts the Issuer ~~(or the share register institution, such as Euronext Securities Milan)~~. The Issuer CSD's request form for conversion must be completed. The information provided includes the Euronext Securities Milan omnibus account in the books of the Issuer CSD.
3. **Issuer, Euronext Securities Milan and Issuer CSD Coordination:** Based on the request form for conversion, the Issuer CSD debits the position to be converted from the Euronext Securities Milan omnibus account in the Issuer CSD. This involves adjusting the global position by increasing issued registered securities and decreasing dematerialised securities.
4. **Adjustment Confirmation:** the Issuer CSD confirms the adjustment to the Issuer, prompting an amendment to the share register to reflect the new shareholder and its position.
5. **Final Confirmation:** upon confirmation of the debit of the dematerialised securities in the Euronext Securities Milan omnibus account with the Issuer CSD, Euronext Securities Milan will:
 - 1- Execute the adjustments by:
 - Sending an already matched "free of payment" instruction to debit the Euronext Securities Milan CSD participant account (a power of attorney may be required for this action), according to the details in the received registration form. It includes a conversion internal reference from the participant. The instruction settles once the Issuer CSD confirms that settlement has occurred on the Euronext Securities account at the Issuer CSD, and

2- Confirm the debit to the Euronext Securities Milan CSD participant.

Scenario 4B: Euronext securities Milan is the single point of contact:

- 1. Conversion initiation:** the shareholder begins the conversion by contacting the financial institution (and the associated Euronext Securities CSD participant) where the securities to be registered are safekept

The CSD participant liaises with the Euronext Securities Milan to inform about the conversion request and provides the related form completed

- 2. Communication to Issuer:** Euronext Securities Milan liaise with the Issuer and Issuer register to communicate the conversion request and validate the form
- 3. Issuer, Euronext Securities Miland and Issuer CSD coordination:** same process as defined in 4A
- 4. Adjustment Confirmation:** same process as defined in 4A
- 5. Final Confirmation:** same process as defined in 4A

9. Glossary

Below is a definition of terms used in the document. If not otherwise specified:

Terms	Definitions
BCCA: Belgian Code of Companies and Associations	The legal framework regulating corporate matters in Belgium, including securities issuance and shareholder rights.
Buying (Selling) Power	A document signed by the existing (seller) or future (buying) shareholder giving the authority to its financial institution to sell or buy registered securities on its behalf.
Conversion	The process of transforming securities from dematerialised form to registered form, or vice versa, upon the request of the shareholder.
Dematerialised security	Securities held as electronic book entries in securities accounts at a Central Securities Depository, where individual end-investor details are not recorded.
GDPR: General Data Protection Regulation	European data protection standards that mandate proper handling and security of personal data within shareholder records.
Financial institution	Banks, brokers or similar entities that facilitate the purchase, sale, conversion and related communications between shareholders, Issuers, and the CSD.

Terms	Definitions
Investor CSD	A Central Securities Depository (CSD) that accepts a security into its own books for the purpose of settlement and safekeeping, even though it is not the original Issuer CSD. The Investor CSD enables its participants to hold and settle securities issued in another CSD, typically through a link or interoperability arrangement with the Issuer CSD.
Investor Reporting	The practice of providing shareholders with transparent, periodic, or ad hoc reports regarding their holdings, balance statements, and transaction summaries.
ISIN	International Securities Identification Number.
Issuance account	A securities account in the name of the issuer reflecting the total share capital. This is the only securities account permitted to have a negative balance when the securities are distributed.
Issuer	A company or legal entity that creates and issues shares. The Issuer is responsible for registering the shares, maintaining shareholder records, and complying with regulatory requirements related to the issuance and management of those securities.
Issuer CSD	A Central Securities Depository (CSD) that holds the issuance account of a security. It is the CSD where all the securities are initially recorded and from which they are created and distributed. The Issuer CSD is responsible for the initial registration, safekeeping, and central administration of the securities on behalf of the Issuer.
Off-ledger "Registered" account	Account created in a dedicated database, used by Euronext Securities Milan to reflect and track the number of registered shares for a specific ISIN. It is used for administrative and operational purposes only
Register maintenance	The continuous process of updating the share register with new entries, amendments due to ownership changes, and recording shareholder details with legal compliance.
Registered securities	Securities recorded exclusively in a dedicated share register maintained by the Issuer, serving as the primary evidence of ownership and related rights.
Security Register	An official record maintained by the Issuer (or delegated third party) that contains detailed information on shareholders, shareholdings, and associated rights.
SRS Template	The Share Register Service template is a form (template) used to capture the information needed to register or deregister a registered security e.g. in case of sale or in case of conversion from/to registered to/from dematerialised form, and to facilitate those processes.



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